

Financial Institutions and Markets - Week 4

Multiple Choice Questions on the Structure of the UK Banking System

1. When did building societies begin in the UK?
a) 1675 b) 1775 c) 1875 d) 1975
2. What was the original purpose of building societies?
a) To provide loans to businesses b) To finance the building of houses for members
c) To compete with traditional banks d) To invest in the stock market
3. In the 1980s, building societies were allowed to:
a) Merge with banks b) Operate internationally
c) Demutualize and become limited companies d) Issue credit cards
4. What percentage of total outstanding residential mortgages do building societies provide today?
a) 13% b) 29% c) 33% d) 43%
5. Which is the largest building society in the UK today?
a) Halifax b) Nationwide c) Yorkshire Building Society d) Coventry Building Society
6. What percentage of building society assets does the largest building society hold?
a) More than 50% b) More than 60% c) More than 70% d) More than 80%
7. Compared to the UK, the US banking industry is:
a) More competitive and less concentrated b) Less competitive and more concentrated
c) Equally competitive and concentrated d) More regulated and less diverse
8. What does the Herfindahl-Hirschman Index (HHI) measure?
a) Customer satisfaction b) Market concentration c) Profitability
d) Regulatory compliance
9. What HHI score represents a perfect monopoly?
a) 1,000 b) 5,000 c) 10,000 d) 100,000
10. According to the HHI classification, a market with an HHI of 2,500 would be considered:
a) Un-concentrated b) Moderately concentrated
c) Highly concentrated d) Perfectly competitive
11. What is one of the main reasons behind the relatively high concentration in UK banking?
a) Government regulations b) Very low switching rates
c) High interest rates d) Limited technology
12. Which type of banks typically have higher customer satisfaction rates?
a) Large traditional banks b) Smaller banks
c) International banks d) Government-owned banks
13. What is a challenger bank?
a) A bank that challenges government regulations
b) A small, recently created retail bank competing with large banks
c) A bank specializing in corporate lending

d) A bank owned by a building society

14. Which of the following is NOT an example of a challenger bank mentioned in the lecture?

- a) Starling b) Monzo c) Barclays d) Metro

15. What is one advantage that big banks have over smaller ones?

- a) More personalized customer service b) Higher interest rates on savings
- c) Economies of scale d) Faster loan approval processes

16. According to the lecture, why might consumers prefer larger banks?

- a) Higher interest rates b) More branch locations
- c) Better online banking services d) Familiarity and confidence in a recognized bank

17. How does bank size typically affect deposit rates?

- a) Larger banks offer higher deposit rates
- b) Larger banks offer lower deposit rates
- c) Bank size has no effect on deposit rates
- d) Deposit rates are set by the government

18. How does bank regulation tend to affect large banks versus smaller ones?

- a) It favours smaller banks b) It favours larger banks
- c) It affects all banks equally d) It has no impact on bank competitiveness

19. What is "customer inertia" in the context of banking?

- a) Customers rapidly switching between banks
- b) Customers preferring online banking
- c) Customers not switching despite better offers elsewhere
- d) Customers frequently complaining about services

20. What is Open Banking?

- a) Banks operating 24/7
- b) Banks sharing customer financial data with app developers and other institutions
- c) Banks opening more physical branches
- d) Banks offering services to international customers

21. What is the primary goal of Open Banking?

- a) To increase bank profits
- b) To simplify banking regulations
- c) To increase competition and innovation
- d) To reduce the number of banks

22. Who benefits from Open Banking?

- a) Only large banks
- b) Only fintech companies
- c) Consumers and fintech companies
- d) Only government regulators

23. What is one potential problem with Open Banking mentioned in the lecture?

- a) It might lead to bank failures
- b) It could increase interest rates
- c) It might create security risks for customer data

d) It could cause banks to close physical branches

24. According to researchers from the University of Chicago, Open Banking could potentially:

- a) Increase bank profits
- b) Reduce competition
- c) Lower interest rates
- d) Backfire

25. What factor makes it difficult for consumers to compare personal current accounts?

- a) Lack of online banking services
- b) Government regulations
- c) Increasing product complexity
- d) Limited number of banks

26. Calculate the Herfindahl-Hirschman Index (HHI) for the following hypothetical market shares of current accounts in the UK banking sector:

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|-------------|-------------|-------------|-------------|-------------|
| Bank A: 30% | Bank B: 25% | Bank C: 20% | Bank D: 15% | Bank E: 10% |
| a) 1,450 | b) 2,250 | | | |
| c) 2,450 | d) 3,250 | | | |

27. In another hypothetical scenario, the UK banking sector has the following market shares for current accounts:

Bank W: 35%	Bank X: 30%	Bank Y: 20%	Bank Z: 15%
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Calculate the HHI and determine the level of market concentration according to the classifications provided in the lecture.

- a) HHI = 2,750; Moderately concentrated market
- b) HHI = 2,750; Highly concentrated market
- c) HHI = 2,850; Moderately concentrated market
- d) HHI = 2,850; Highly concentrated market